HOWDEN JOINERY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 26 DECEMBER 2015

REGISTERED NUMBER: 00526923

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HOWDEN JOINERY LIMITED
STRATEGIC REPORT AND DIRECTORS' REPORT

STRATEGIC REPORT

The Company is a wholly owned subsidiary of Howden Joinery Group Plc, and operates as part of the Howden Joinery Group Plc group (the "Group"). The Company's principal activities are providing and managing employees for other Group companies. There have not been any significant changes in the Company's principal activities in the period under review. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next financial period.

The Group manages its operations on a Group basis and therefore prepares a consolidated group report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

• Fair review of the business	pages 12-16
• Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings	pages 19-22
• Financial and non-financial KPIs	pages 15, 23-35
• Future developments	pages 5, 15
• Information about environmental matters, social, community and human rights issues	pages 23-35
• Description of business model and strategy	pages 6-12
• Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons	pages 45, 54, 73-77, 91

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

By Order of the Board

Forbes McNaughton – Company Secretary
10 March 2016

HOWDEN JOINERY LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 26 December 2015 *(2014: 52 weeks ended 27 December 2014)*.

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were:

K Barrett	(appointed 8 September 2015)
C Cockburn	(appointed 1 January 2016)
R Fenwick	
D Hallett	(resigned 31 December 2015)
G Hopkins	(appointed 8 September 2015)
M Ingle	
T Keating	
M Robson	
A Witts	

No director held any beneficial interest in the shares of the Company at any time during the period.

REGISTERED OFFICE

The Company's registered office is 40 Portman Square, London W1H 6LT

DIVIDEND

During the current period, a dividend of £348.4m was proposed and paid. During the prior period, a dividend of £113.8m was proposed and paid. Further details are given in note 14.

EMPLOYEES

The Company had 8,040 employees *(2014:7,155)* during the period and staff costs amounted to £274,784,000 *(2014: £243,555,000)*. Further details are given in note 3.

POLITICAL CONTRIBUTIONS

The Company did not make any political donations during the period (2014*: £nil)*.

AUDITOR

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware; and
- the director has taken all the steps he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

GOING CONCERN

The Company is able to meet its day-to-day working capital requirements through cash generated from operations. If required, The Company also has access to its parent company's asset-backed lending facility of £140m which expires in July2019.

The Company's forecasts and projections have been stress-tested for reasonably possible adverse variations in economic conditions and trading performance. After reviewing the results of this testing, and making due enquiries, the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the financial statements.

DIRECTORS' RESPONSIBILITY STATEMENT

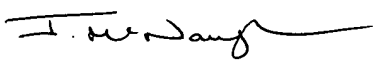
The directors are responsible for preparing the the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board



Forbes McNaughton – Company Secretary
10 March 2016

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Limited for the 52 weeks ended 26 December 2015 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 20. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of: whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed; the reasonableness of significant accounting estimates made by the directors; and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 26 December 2015 and of its profit for the 52 weeks then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Catherine Lucy Newman (Senior statutory auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, United Kingdom
10 March 2015

HOWDEN JOINERY LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 26 DECEMBER 2015

	Note	52 weeks to 26 Dec 2015 Total £000	52 weeks to 27 Dec 2014 Total £000
Turnover	1	**1,208,829**	1,080,083
Cost of sales		**(461,443)**	(418,568)
Gross profit		**747,386**	661,515
Selling and administrative costs		**(519,548)**	(470,059)
Dividend received		**535**	2,153
Operating profit		**228,373**	193,609
Loss on disposal of fixed assets		**(75)**	(290)
Intercompany interest receivable		**6,485**	-
Finance lease interest payable		**(6)**	(13)
Profit on ordinary activities before taxation	2	**234,777**	193,306
Tax on profit on ordinary activities	5	**(48,943)**	(42,831)
Amount transferred to reserves	15	**185,834**	150,475

All results are from continuing operations. There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account, accordingly no statement of total recognised gains and losses has been presented.

HOWDEN JOINERY LIMITED
BALANCE SHEET AT 26 DECEMBER 2015

	NOTES	26 Dec 2015 £000	26 Dec 2015 £000	27 Dec 2014 £000	27 Dec 2014 £000
Fixed assets					
Tangible assets	6	**76,418**		65,273	
Investments	7	**-**		-	
			76,418		65,273
Current assets					
Stocks	8	**173,144**		140,159	
Debtors	9	**546,640**		673,771	
Cash at bank and in hand		**6,221**		7,649	
		726,005		821,579	
Creditors: amounts due within one year	10	**(508,157)**		(434,621)	
Net current assets			**217,848**		386,958
Total assets less current liabilities			**294,266**		452,231
Creditors: amounts falling due after more than one year					
Finance lease creditor	10		**(18)**		(51)
Provisions	11		**(5,200)**		(4,296)
Net assets			**289,048**		447,884
Capital and reserves					
Share capital	13		**100,000**		100,000
Profit and loss account	15		**172,286**		334,871
Share-based payments reserve	15		**16,762**		13,013
Shareholders funds	15		**289,048**		447,884

Approved by the Board of Directors, authorised for issue, and signed on their behalf by:

T Keating
Director
10 March 2016

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding period.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards. The financial statements have been prepared on a going concern basis as discussed in the Directors' Report.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc.

The Company is exempt from the requirement to prepare Group financial statements under s400 of the Companies Act 2006 since its results are included in the consolidated financial statements of its ultimate parent company, Howden Joinery Group Plc. Accordingly these financial statements present information about the Company as an individual undertaking and not its Group.

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax. All turnover arises in the United Kingdom and is recognised on despatch of goods and services provided to customers, excluding sales taxes and discounts.

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and any provision for impairment. Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows:

Plant and machinery	4 – 20 years
Computer equipment, fixtures and fittings	3 – 10 years

Assets under construction are not depreciated until ready for use, at which point they are transferred into the relevant asset category.

STOCKS

Stocks are valued at the lower of cost and net realisable value. Cost includes materials, direct labour and an attributable proportion of manufacturing overheads based on normal levels of activity. Net realisable value is based on estimated selling price less further costs expected to be incurred to completion and disposal. Provision is made for obsolete, slow moving stock or defective items where appropriate.

TAXATION

Current tax, including UK corporation tax and foreign tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date. Timing differences are differences between the Group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements.

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted.

1. **ACCOUNTING POLICIES (Continued)**

TAXATION (Continued)

Deferred tax is not recognised when fixed assets are revalued unless by the balance sheet date there is a binding agreement to sell the revalued assets and the gain or loss expected to arise on sale has been recognised in the financial statements. Neither is deferred tax recognised when fixed assets are sold and it is more likely than not that the taxable gain will be rolled over, being charged to tax only if and when the replacement assets are sold.

Deferred tax is recognised in respect of the retained earnings of overseas subsidiaries and associates only to the extent that, at the balance sheet date, dividends have been accrued as receivable or a binding agreement to distribute past earnings in future has been entered into by the subsidiary or associate.

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date. Deferred tax is measured on a non-discounted basis.

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Company. All other leases are classified as operating leases. For property leases, the land and building elements are treated separately to determine the appropriate lease classification.

Finance leases

Assets funded through finance leases are capitalised as property, plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter. The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease. The resulting lease obligations are included in liabilities net of finance charges. Finance costs on finance leases are charged directly to the income statement.

Operating leases

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease.

FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are translated at the foreign exchange rates ruling at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rates ruling at the date. Foreign exchange gains and losses are recognised in the profit and loss account.

INVESTMENTS

Investments are stated at cost less any provision for impairment.

PENSIONS

i) Defined benefit pension scheme:

The Company participates in its parent company's (Howden Joinery Group Plc) group retirement benefit scheme. This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme. The assets and liabilities of the scheme are held separately from those of the Group. The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

ii) Defined contribution pension schemes:

The Group operates two defined contribution scheme for its employees, one of these schemes is an auto enrolment scheme. For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

1. ACCOUNTING POLICIES (Continued)

SHARE-BASED PAYMENTS

The Company has adopted FRS 20: "Share-based payments". In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005.

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc. Equity-settled share-based payments are measured at fair value at the date of grant. The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Company's estimate of shares that will eventually vest.

Fair value is measured by use of either a binomial model or a Black-Scholes-based model, depending on which model most closely reflects the terms of each individual share-based payment arrangement. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations.

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging/(crediting):

	52 weeks to 26 Dec 2015 £000	52 weeks to 27 Dec 2014 £000
Depreciation	**14,030**	14,791
Hire of plant and machinery – rentals	**15,610**	13,466
Rent payable on property	**53,791**	48,062
Loss on disposal of fixed assets	**75**	290
Foreign exchange loss	**17**	386

The analysis of auditor's remuneration is as follows:

	52 weeks to 26 Dec 2015 £000	52 weeks to 27 Dec 2014 £000
Fees payable to the Company's auditor for the audit of the Company's financial statements	**147**	144
Total audit fees	**147**	144
Tax compliance	**52**	47
Tax advice	**5**	90
Total non-audit fees	**57**	137

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

Some of the Company's employees are paid directly by the Company. In addition, there are a number of other employees, who work full-time in the operations of this Company, but who are employed by a fellow Howden Joinery Group Plc Group subsidiary, Howden Joinery People Services Limited, and whose employment costs are recharged to this Company in full. The figures given below for staff numbers and costs include both groups of employees, in order to give more meaningful information.

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS) (Continued)

The average number of persons (full-time equivalent) who worked for the Company during the period, including those who were employed by Howden Joinery People Services Limited, was as follows:

	26 Dec 2015	27 Dec 2014
	No.	No.
Manufacturing and distribution	**1,118**	1,044
Depots	**6,237**	5,458
Head office	**685**	653
	8,040	7,155

The aggregate payroll costs of these persons were as follows:

	52 weeks to 26 Dec 2015	52 weeks to 27 Dec 2014
	£000	£000
Wages and salaries	**227,076**	201,637
Social security costs	**22,810**	20,820
Other pension costs	**21,149**	18,434
Share-based payment charge (note 19)	**3,749**	2,664
	274,784	243,555

4. REMUNERATION OF DIRECTORS

Directors' remuneration	**52 weeks to 26 Dec 2015**	52 weeks to 27 Dec 2014
	£000	£000
Directors' emoluments	**625**	804
Pension costs	**23**	19
	648	823

The number of directors who:	**No.**	No.
Are members of a defined benefit pension scheme	**1**	2
Are members of a money purchase pension scheme	**-**	-
Exercised options over shares	**1**	2

Remuneration of the highest paid director	**£000**	£000
Directors' emoluments	**625**	601
Pension costs	**23**	13
	648	614

The highest paid director exercised share options during the period.

Based on normal retirement age the accrued pension of the highest paid director under the Company's defined benefit scheme, should he leave employment at the end of the financial period, is £53,500 *(2014: £50,500)*

5. TAX ON PROFIT ON ORDINARY ACTIVITIES

	52 weeks to 26 Dec 2015 £000	52 weeks to 27 Dec 2014 £000
UK corporation tax –current period	**48,752**	45,460
Adjustment for prior periods	**68**	(1,174)
Current tax charge	**48,820**	44,286
Deferred tax – current period	**(607)**	(599)
Deferred tax- adjustments in respect of prior periods	**730**	(856)
Deferred tax charge	**123**	(1,455)
Tax charge on profit on ordinary activities	**48,943**	42,831

Factors affecting current period corporation tax
The current corporation tax charge for the period is different from the standard rate of corporation tax of 20.25% *(2014:21.5%)* for the following reasons:

	52 weeks to 26 Dec 2015 £000	52 weeks to 27 Dec 2014 £000
Profit on ordinary activities before taxation for the period	**234,777**	193,306
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 20.25% *(2014:21.5%)*	**47,542**	41,561
Effects of:		
Expenditure not deductible for tax purposes	**1,644**	1,916
Depreciation in excess of capital allowances	**97**	34
Movement on share schemes	**(485)**	(338)
Transfer pricing adjustment on non-trading loans	**-**	2,688
Loss on disposal of fixed assets	**60**	62
Non- taxable dividend income	**(106)**	(463)
Prior period adjustment	**68**	(1,174)
Current tax charge for the period	**48,820**	44,286

6. TANGIBLE FIXED ASSETS

	Plant and machinery	Fixtures and fittings	Computer equipment	Assets under construction	Total
Cost	£000	£000	£000	£000	£000
At 27 December 2014	39,589	83,182	25,644	6,173	154,588
Additions	1,317	7,788	3,333	12,822	25,260
Transfers	2,985	331	1,038	(4,354)	-
Disposals	(7,896)	(1,627)	(2,228)	-	(11,751)
At 26 December 2015	**35,995**	**89,674**	**27,787**	**14,641**	**168,097**
Depreciation					
At 27 December 2014	(16,500)	(58,784)	(14,031)	-	(89,315)
Charge for the period	(3,951)	(5,055)	(5,024)	-	(14,030)
Disposals	7,844	1,627	2,195	-	11,666
At 26 December 2015	**(12,607)**	**(62,212)**	**(16,860)**	**-**	**(91,679)**
Net book value					
At 27 December 2014	23,089	24,398	11,613	6,173	65,273
At 26 December 2015	**23,388**	**27,462**	**10,927**	**14,641**	**76,418**

Analysis of assets held under finance leases

	26 December 2015	27 December 2014
	Plant & machinery	Plant & machinery
	£000	£000
Cost	**524**	524
Accumulated depreciation	**(430)**	(339)
Net book value	**94**	185

Capital commitments
At 26 December 2015, the Company had entered into contractual commitments to acquire property, plant and equipment amounting to £14.9m (*2014: £4.0m).*

7. INVESTMENTS

	Shares in group companies	**Total**
Cost	**£000**	**£000**
At 27 December 2014	748	748
At 26 December 2015	**748**	**748**
Provision at 27 December 2014	(748)	(748)
Provision at 26 December 2015	**(748)**	(748)
Net Book Value		
At 27 December 2014	-	-
At 26 December 2015	-	-

7. INVESTMENTS (continued)

Shares in Group companies

All subsidiaries at 26 December 2015 are listed below, and are wholly owned. In the opinion of the directors, the total value of shares in these companies is not less than the amount at which they are included in the balance sheet.

Subsidiary	Principal activity	Incorporated and registered in
Howden Joinery Properties Limited	Property management	England & Wales
Howden Kitchens Properties Limited	Property management	England & Wales
Houdan Cuisines SAS	Trade kitchen furniture and joinery	France

8. STOCKS

	26 Dec 2015	27 Dec 2014
	£000	£000
Raw materials	**5,022**	3,943
Work in progress	**4,367**	4,118
Finished goods for resale	**163,755**	132,098
	173,144	140,159

There is no material difference between the balance sheet value of stocks and their replacement costs.

9. DEBTORS

	26 Dec 2015	27 Dec 2014
	£000	£000
Amounts falling due within one year:		
Trade debtors	**94,953**	101,416
Other debtors	**1,159**	1,028
Amounts owed from parent and fellow subsidiary undertakings	**434,635**	554,902
Prepayments and accrued income	**11,805**	12,215
Deferred taxation (see note 13)	**4,088**	4,210
	546,640	673,771

10. CREDITORS

	26 Dec 2015	27 Dec 2014
	£000	£000
Amounts falling due within one year:		
Trade creditors	**88,184**	82,935
Corporation tax	**48,750**	45,863
Other taxes and social security	**58,652**	54,071
Current portion of amounts due under finance leases	**33**	30
Accruals and deferred income	**28,530**	27,214
Amounts owed to parent and fellow subsidiary undertakings	**284,008**	224,508
	508,157	434,621

10. CREDITORS (continued)

	26 Dec 2015	27 Dec 2014
Amounts falling due after more than one year:	**£000**	£000
Non – current portion of amounts due under finance leases	**18**	51
	18	51

11. PROVISIONS

	Property dilapidations	Warranties	Total
	£000	£000	£000
At 27 December 2014	660	3,636	4,296
Provision created in the period	1,044	4,134	5,178
Released	(347)	-	(347)
Utilised in the period	(362)	(3,565)	(3,927)
At 26 December 2015	**995**	**4,205**	**5,200**

As products are sold, the Group makes provision for claims under warranties. As claims are made, the Group utilises the provision and then uses this data to periodically revise the rate on which it makes further provision.

12. DEFERRED TAXATION

	£000
At 27 December 2014	**4,210**
Charge during the period	607
Adjustments in respect of prior periods	(730)
At 26 December 2015	**4,087**

The deferred taxation asset included in debtors is analysed as follows:

	26 Dec 2015	27 Dec 2014
	£000	£000
Accelerated capital allowances	**1,871**	2,996
Other timing differences	**2,216**	1,214
	4,087	4,210

13. SHARE CAPITAL

	26 Dec 2015	27 Dec 2014
	£000	£000
100,000,000 authorised ordinary shares of £1.00 each	**100,000**	100,000
100,000,000 allotted, called up, issued fully paid ordinary shares of £1.00 each	**100,000**	100,000

14. DIVIDENDS

Amounts recognised as distributions to shareholders in the current and prior periods:

	26 Dec 2015	27 Dec 2014
	£000	£000
2014 dividend, declared and paid in 2015	**348,419**	
2013 dividend, declared and paid in 2014		113,791

15. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share capital	Profit and loss account	Share-based payments reserve	Shareholders' funds
	£000	£000	£000	£000
At 27 December 2014	100,000	334,871	13,013	447,884
Dividend declared and paid	-	(348,419)	-	(348,419)
Profit for the period	-	185,834	-	185,834
Net movement in ESOP	-	-	3,749	3,749
At 26 December 2015	**100,000**	**172,286**	**16,762**	**289,048**

16. PENSIONS

i) Defined contribution pension

The Group operates a defined contribution scheme for its employees. The assets of this scheme are held separately from those of the Group, and are under the control of the scheme trustees. This scheme began operation during 2006.

The total cost charged to income in respect of this scheme in the current period of £0.3m (*2014: £0.3m*) represents the Company's contributions due and paid in respect of the period.

ii) Defined contribution: auto enrolment pension

The Group operates an auto-enrolment defined contribution scheme for employees, in line with recent UK Government legislation. Under the terms of this scheme, employees make pension contributions out of their salaries, and the Group also makes additional contributions. The Group decided to give employees the option to enter this scheme earlier than the mandatory start date, and so the auto-enrolment scheme was open to employees from November 2012 on a voluntary, opt-in, basis, although it was not mandatory to enrol employees into this scheme until July 2013.

The total cost charged to income in respect of this scheme in the current period of £2.6m (*2014: £2.2m*) represents the Company's contributions due and payable in respect of the period. Due to the timing of payments, £0.3m (*2014: £0.3m*) of this amount was unpaid at the period end, but was paid shortly afterwards.

iii) Defined benefit pensions

The Group operates a funded pension scheme which provides benefits based on the pensionable pay of participating employees. This scheme was closed to new entrants from April 2013. The assets of the scheme are held separately from those of the Group, being invested with independent fund managers. Contributions are charged to the consolidated income statement so as to spread the cost of pensions over the employees' working lives with the Group. The present value of the defined benefit obligation, the related current service cost, and past service cost are determined by a qualified actuary using the projected unit method. The most recent completed actuarial valuation was carried out at 5 April 2014 by the scheme actuary. The actuary advising the Group has subsequently rolled forward the results of the 5 April 2014 valuation to 26 December 2015, and has restated the results onto a basis consistent with market conditions at that date.

The Company's defined benefit pension charge for the year was £13.8m (*2014: £12.0m)* There were no pension costs unpaid but provided for at 26 December 2015 *(2014: £nil)*.

16. PENSIONS (continued)

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits". The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17. It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc.

17. FINANCIAL COMMITMENTS

The annual commitments under non-cancellable operating leases are set out below:

	26 Dec 2015	27 Dec 2014
Plant and machinery operating leases which expire:	£000	£000
Within one year	727	3,403
Between two and five years	9,012	6,641
Over five years	2,803	4,632
	12,542	14,676

18. FINANCE LEASES

	26 Dec 2015	27 Dec 2014
The finance lease obligations are repayable as follows:	£000	£000
Current liabilities:		
Within one year	33	30
Non-current liabilities:		
In the second year	18	34
In the third to fifth years inclusive	-	18
Total finance lease obligations	51	82

All finance lease obligations are in sterling. Each lease contract is at a fixed rate. The weighted average of the fixed rates on the various contracts is 6.0% at the current year end *(2014:5.7%)*. The finance lease obligations are unsecured. The average remaining lease term is one year and six months (*2014:two years and ten months*). The amount of finance charge payable during the year was £ 6,940 (*2014:£11,100*).

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		Present value of minimum lease payments	
	26 Dec 2015	27 Dec 2014	26 Dec 2015	27 Dec 2014
	£000	£000	£000	£000
Amounts payable under finance leases:				
Within one year	37	36	33	30
In the second year	19	34	18	34
In the third to fifth years inclusive	-	16	-	18
	56	86	51	82
Less: future finance charges	(5)	(4)		
Present value of lease obligations	51	82		
Disclosed as:				
Current	37	36		
Non-current	14	46		
	51	82		

19. SHARE BASED PAYMENTS

1) Details of each scheme

The Company recognised a charge of £3.7m *(2014: charge of £2.7m)* in respect of share-based payments during the period. The Company has various share-based payments schemes, which are all equity-settled, and all of which relate to shares in the parent company Howden Joinery Group Plc. Any references to profit targets relate to profits of the parent company and not of this Company. The main details of all the schemes which existed during the period are given below.

a) Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan.

2012 award: 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above. 2013 award: 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 accounts. 100% of the award will vest if PBT growth on the same basis is 12% or above. 2014 award: 15% of the award will vest if PBT growth at the end of the 2016 financial year is at a rate of 8% p.a., based on the December 2013 accounts. 100% of the award will vest if PBT growth on the same basis is 20% or above. . 2015 award: 15% of the award will vest if PBT growth at the end of the 2017 financial year is at a rate of 8% p.a., based on the December 2014 accounts. 100% of the award will vest if PBT growth on the same basis is 20% or above.

***b)* Executive Share Options**

This is a discretionary share option plan. These options are granted with an exercise price equal to market value.

The vesting period is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information. The different subdivisions and performance conditions are as follows:

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%.

ii) EPS growth must equal RPI+9%. If this is achieved there will be full vesting. If this is not achieved there will be no vesting.

iii) Full vesting will occur if the Group's cumulative profit before tax is at least £90m over the three financial years ending December 2009, 2010 and 2011. If this is not achieved there will be no vesting.

***c)* Long Term Incentive Plan - Options**

This is a discretionary plan under which the Company may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). Unless otherwise specified all awards have substantially the same terms.

(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.

(ii) Market value options which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI+8% is achieved.

(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.

19. SHARE BASED PAYMENTS (continued)

(iv) ***2011 grant*** - 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p.a., based on the December 2010 financial statements. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. ***2012 grant:*** 25% of the award will vest if PBT growth at the end of the 2014 financial year is at a rate of 6% p.a., based on the December 2011 financial statements. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. ***2013 grant:*** 25% of the award will vest if PBT growth at the end of the 2015 financial year is at a rate of 6% p.a., based on the December 2012 financial statements. 100% of the award will vest if PBT growth on the same basis is 12% p.a. or above. ***2014 grant:*** 15% of the award will vest if PBT growth at the end of the 2016 financial year is at a rate of 8% p.a., based on the December 2013 financial statements. 100% of the award will vest if PBT growth on the same basis is 20% or above.

(v) Performance share plan. This is a conditional share award. The 2015 performance conditions are as follows: if PBT growth at the end of the 2017 financial year is below 8% p.a., based on the December 2014 accounts, there will be no vesting. If PBT growth is 8% on the same basis, 15% of the award will vest . If PBT growth on the same basis is 20% or above, 100% of the award will vest. If PBT growth is between 8% and 20%, the shares will vest on a sliding scale.

d)* Share Incentive Scheme (SIP*)
This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

2) Movements in the period
The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category. The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of FRS 20.

a) Co-investment Plan: 2012, 2013, 2014, 2015 awards.	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at start of period	2,099,328	-	3,321,246	-
Granted in period	216,216	-	335,099	-
Lapsed in period	(63,813)	-	(399,627)	-
Exercised in period	(1,327,664)	-	(1,157,390)	-
In issue at end of period	924,067	-	2,099,328	-
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		4.49		3.46
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.99		0.85	
Weighted average fair value of options granted during the period (£)	4.38		3.62	
Range of exercise prices for options outstanding at the period end (£):				
- from	-		-	
- to	-		-	

19. SHARE BASED PAYMENTS (continued)

b) Executive Share Options

i) Full vesting if EPS increases by RPI + 9%	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	61,000	1.00	95,383	1.00
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	(61,000)	1.00	(34,383)	1.00
In issue at end of period	0	-	61,000	1.00
Exercisable at end of period	-	-	61,000	1.00
Number of options in the closing balance that were granted before 7 November 2002	-		61,000	
Weighted average share price for options exercised during the period		4.61		3.42
Weighted average contractual life remaining for share options outstanding at the period end (years)	-		-	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	-		1.00	
- to	-		1.00	

c) Long Term Incentive Plan - Options

i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	139,563	0.36	172,763	0.36
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	(11,650)	0.36	(33,200)	0.36
In issue at end of period	127,913	0.36	139,563	0.36
Exercisable at end of period	127,913	0.36	139,563	0.36
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		5.00		3.92
Weighted average contractual life remaining for share options outstanding at the period end (years)	-		-	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.36		0.36	
- to	0.36		0.36	

19. SHARE-BASED PAYMENTS (continued)

c) Long Term Incentive Plan - Options

ii) 2012 PBT increase by between RPI and RPI + 8%	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	263,374	0.81	395,199	0.81
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	(105,781)	0.81	(131,825)	0.81
In issue at end of period	157,593	0.81	263,374	0.81
Exercisable at end of period	157,593	0.81	263,374	0.81
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		4.76		3.48
Weighted average contractual life remaining for share options outstanding at the period end (years)	-		-	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.81		0.81	
- to	0.81		0.81	

iii) Conditional Share Award - subject to continuing employment	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	1,527,900	-	1,516,400	-
Granted in period	-	-	618,100	-
Lapsed in period	(80,700)	-	(147,200)	-
Exercised in period	(467,300)	-	(459,400)	-
In issue at end of period	979,900	-	1,527,900	-
Exercisable at end of period	-	-	-	-
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		4.50		3.74
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.81		1.32	
Weighted average fair value of options granted during the period (£)	-		347.60	
Range of exercise prices for options outstanding at the period end (£):				
- from	-		-	
- to	-		-	

19. SHARE-BASED PAYMENTS (continued)

(iv) 2011, 2012, 2013 and 2014 grants	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	2,277,872	2.49	1,969,960	1.56
Granted in period	0	N/A	884,538	3.79
Lapsed in period	(47,263)	2.69	(158,118)	1.66
Exercised in period	(480,642)	1.24	(418,508)	1.14
In issue at end of period	1,749,967	2.82	2,277,872	2.49
Exercisable at end of period	350,738	1.20	228,432	108.50
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		4.80		3.58
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.85		1.37	
Weighted average fair value of options granted during the period (£)	-		170.40	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.09		108.50	
- to	3.79		378.50	

(v) Performance Share Plan	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)
In issue at beginning of period	0	N/A
Granted in period	409,489	-
Lapsed in period	(2,594)	-
Exercised in period	0	N/A
In issue at end of period	406,895	-
Exercisable at end of period	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.25	
Weighted average fair value of options granted during the period (£)	4.38	
Range of exercise prices for options outstanding at the period end (£):		
- from	-	
- to	-	

19. SHARE-BASED PAYMENTS (continued)

d) Share incentive scheme (SIP)	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	111,500	0.00	142,312	-
Granted in period	734,500	0.00	-	N/A
Lapsed in period	(49,900)	0.00	-	N/A
Exercised in period	(32,320)	0.00	(30,812)	-
In issue at end of period	763,780	0.00	111,500	-
Exercisable at end of period	81,236	0.00	111,500	-
Number of options in the closing balance that were granted before 7 November 2002	81,236		77,392	
Weighted average share price for options exercised during the period		4.76		3.43
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.44		-	
Weighted average fair value of options granted during the period (£)	5.18		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	-		-	
- to	-		-	

e) Share Award Plan - subject to continuing employment	52 weeks to 26 December 2015 Number	52 weeks to 26 December 2015 WAEP (£)	52 weeks to 27 December 2014 Number	52 weeks to 27 December 2014 WAEP (£)
In issue at beginning of period	21,492	0.00	21,492	-
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	(21,492)	0.00	-	N/A
In issue at end of period	-	N/A	21,492	-
Exercisable at end of period	-	N/A	-	
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		4.92		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	-		3.25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	-		-	
- to	-		-	

19. SHARE-BASED PAYMENTS (continued)

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model. Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model.

The key assumptions used in the models were:

	52 weeks to 26 December 2015	52 weeks to 27 December 2014
Dividend yield (%)	**1.8**	1.5
Expected share price volatility (%)	-	51
Historical volatility (%)	-	51
Risk-free interest rate (%)	-	2.2
Expected life of options (years)	**3.0**	4.2

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme. The figure arrived at is then used as the best estimate of expected future volatility.

20. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Howden Joinery Holdings Ltd and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in the United Kingdom and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc. The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Howden Joinery Group Plc on the grounds that it is a wholly owned subsidiary.

There were no other related party transactions.